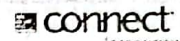


13. What is the Securities and Exchange Commission (SEC), and what is its role in external financial reporting?
14. What is the role of the Public Company Accounting Oversight Board in the audit of financial statements?
15. What is the International Accounting Standards Board (IASB), and what are its objectives?



Brief Exercises

BRIEF EXERCISE 1.1

Users of Information

List four external users of accounting information.

BRIEF EXERCISE 1.2

Components of Internal Control

Match the terms on the left with the descriptions on the right. Each description should be used only once.

Term	Description
_____ Control environment	a. Policies and procedures put in place by management to address the risks identified during the risk assessment process.
_____ Risk assessment	b. A process, involving both ongoing activities and separate evaluations, that enables an organization to evaluate the effectiveness of its system of internal control over time.
_____ Control activities	c. The foundation for all the other elements of internal control, setting the overall tone for the organization.
_____ Information and communication	d. The process of capturing and communicating operational, financial, and compliance-related information.
_____ Monitoring activities	e. Identifying, analyzing, and managing those risks that pose a threat to the achievement of the organization's objectives.

BRIEF EXERCISE 1.3

Inexact or Approximate Measures

Why does accounting rely on inexact or approximate measures?

BRIEF EXERCISE 1.4

Standards for the Preparation of Accounting Information

What are the two primary organizations in the United States that are responsible for setting standards related to the preparation of accounting information?

BRIEF EXERCISE 1.5

FASB Conceptual Framework

The FASB's conceptual framework sets forth the Board's views on which topics?

BRIEF EXERCISE 1.6

Public Company Accounting Oversight Board (PCAOB)

Use the web to find the home page of the PCAOB. What are the four primary activities of the PCAOB?

BRIEF EXERCISE 1.7

Committee of Sponsoring Organizations (COSO)

Who are the sponsoring organizations of COSO, and what is COSO best known for doing?

BRIEF EXERCISE 1.8

Professional Certifications in Accounting

List three professional certifications offered in accounting and the organizations that offer them.

BRIEF EXERCISE 1.9

AICPA Code of Professional Conduct

Match the terms on the left with the descriptions on the right. Each description should be used only once.

Term	Description
_____ Responsibilities	a. A member in public practice should observe the Principles of the Code of Professional Conduct in determining the scope and nature of services to be provided.
_____ The Public Interest	b. To maintain and broaden public confidence, members should perform all professional responsibilities with the highest sense of integrity.
_____ Integrity	c. A member should maintain objectivity and be free of conflicts of interest in discharging professional responsibilities. A member in public practice should be independent in fact and appearance when providing auditing and other attestation services.
_____ Objectivity and Independence	d. Members should accept the obligation to act in a way that will serve the public interest, honor the public trust, and demonstrate commitment to professionalism.
_____ Due Care	e. In carrying out their responsibilities as professionals, members should exercise sensitive professional and moral judgments in all their activities.
_____ Scope and Nature of Services	f. A member should observe the profession's technical and ethical standards, strive continually to improve competence and the quality of service, and discharge professional responsibility to the best of the member's ability.

BRIEF EXERCISE 1.10

Personal Benefits of Accounting Skills

List three accounting-related skills that are useful to many people in their personal lives.

Exercises**LO1-1****EXERCISE 1.1**

You as a User of Accounting Information

Identify several ways in which you currently use accounting information in your life as a student. Also identify several situations in which, while you are still a student, you might be required to supply financial information about yourself to others.

LO1-3, LO1-4**EXERCISE 1.2**

Users of Accounting Information

Boeing Company is the largest manufacturer of commercial aircraft in the United States and is a major employer in Seattle, Washington. Explain why each of the following individuals or organizations would be interested in financial information about the company.

- California Public Employees Retirement System, one of the world's largest pension funds.
- China Airlines, a rapidly growing airline serving the Pacific Rim.
- Henry James, a real estate investor considering building apartments in the Seattle area.
- Boeing's management.
- International Association of Machinists and Aerospace Workers, a labor union representing many Boeing employees.

LO1-3**EXERCISE 1.3**

What Is Financial Reporting?

A major focus of this course is the process of financial reporting.

- What is meant by the term *financial reporting*?
- What are the principal accounting reports involved in the financial reporting process? In general terms, what is the purpose of these reports?
- Do all business entities engage in financial reporting? Explain.
- How does society benefit from the financial reporting process?

LO1-6**EXERCISE 1.4**

Generally Accepted Accounting Principles

Generally accepted accounting principles play an important role in financial reporting.

- What is meant by the phrase *generally accepted accounting principles*?
- What are the major sources of these principles?
- Is there a single comprehensive list of generally accepted accounting principles? Explain.
- What types of accounting reports are prepared in conformity with generally accepted accounting principles?

LO1-6
EXERCISE 1.6
 Accounting Organizations

Describe the roles of the following organizations in establishing generally accepted accounting principles:

- a. The FASB b. The AICPA c. The SEC

From which of these organizations can you most easily obtain financial information about publicly owned companies?

LO1-3
EXERCISE 1.6
 Investment Return

You recently invested \$15,000 of your savings in a security issued by a large company. The security agreement pays you 8 percent per year and has a maturity three years from the day you purchased it. What is the total cash flow you expect to receive from this investment, separated into the return on your investment and the return of your investment?

LO1-3 through LO1-5,
LO1-7
EXERCISE 1.7
 Accounting Terminology

Match the terms on the left with the descriptions on the right. Each description should be used only once.

Term	Description
_____ Financial accounting	a. Statement of financial position (balance sheet), income statement, statement of cash flows.
_____ Management accounting	b. The segment of the accounting profession that relates to providing audit, tax, and consulting services to clients.
_____ Financial reporting	c. The area of accounting that refers to providing information to support external investment and credit decisions.
_____ Financial statements	d. The procedural aspect of accounting that involves keeping detailed records of business transactions, much of which is done today by computers.
_____ General-purpose assumption	e. Procedures and processes within an organization that ensure the integrity of accounting information.
_____ Integrity	f. A broad term that describes all information provided to external users, including but not limited to financial statements.
_____ Internal control	g. The area of accounting that refers to providing information to support internal management decisions.
_____ Public accounting	h. The fact that the same information is provided to various external users, including investors and creditors.
_____ Bookkeeping	i. An important quality of accounting information that allows investors, creditors, management, and other users to rely on the information.

LO1-6
EXERCISE 1.8
 Accounting Organizations

Match the organizations on the left with the functions on the right. Each function should be used only once.

Organization	Function
_____ Institute of Internal Auditors	a. The group that creates and promotes International Financial Reporting Standards (IFRSs).
_____ Securities and Exchange Commission	b. Professional association of Certified Public Accountants.
_____ American Institute of CPAs	c. Organization consisting primarily of accounting educators that encourages improvements in teaching and research.
_____ Institute of Management Accountants	d. International organization dedicated to the advancement of internal auditing.
_____ Financial Accounting Standards Board	e. Private-sector organization that establishes accounting standards.
_____ American Accounting Association	f. The body charged with setting auditing standards for audits of public companies.
_____ Public Company Accounting Oversight Board	g. Organization dedicated to providing members personal and professional development opportunities in the area of management accounting.
_____ International Accounting Standards Board	h. Government agency responsible for financial reporting by publicly held companies.

LOI-3, LOI-4**EXERCISE 1.9**

Financial and Management Accounting

LOI-4**EXERCISE 1.10**

Management Accounting Information

LOI-6**EXERCISE 1.11**

Accounting Organizations

LOI-5**EXERCISE 1.12**

Purpose of an Audit

LOI-5**EXERCISE 1.13**

Audits of Financial Statements

LOI-7**EXERCISE 1.14**

Ethics and Professional Judgment

**LOI-8****EXERCISE 1.15**

Careers in Accounting

LOI-1, LOI-3, LOI-5**EXERCISE 1.16**Home Depot, Inc.
General and Specific Information

The major focus of accounting information is to facilitate decision making.

- As an investor in a company, what would be your primary objective?
- As a manager of a company, what would be your primary objective?
- Is the same accounting information likely to be equally useful to you in these two different roles?

Internal accounting information is used primarily for internal decision making by an enterprise's management.

- What are the three primary purposes of internal accounting information?
- Which of these is the most general and which is the most specific?
- Give several examples of the kinds of decisions that internal accounting information supports.

Describe which professional organization(s) would most likely be of greatest value to you if your position involved each of the following independent roles:

- Accounting educator.
- Management accountant.
- Certified public accountant.

Audits of financial statements are an important part of the accounting process to ensure integrity in financial reporting.

- What is the purpose of an audit?
- As an external user of accounting information, what meaning would you attach to an audit that concludes that the financial statements are fairly presented in conformity with generally accepted accounting principles?
- Would your interest in investing in this same company be affected by an auditor's report that concluded the financial statements were *not* fairly presented? Why or why not?

The annual financial statements of all large, publicly owned corporations are audited.

- What is an audit of financial statements?
- Who performs audits?
- What is the purpose of an audit?

Ethical conduct and professional judgment each play important roles in the accounting process.

- In general terms, explain why it is important to society that people who prepare accounting information act in an ethical manner.
- Identify at least three areas in which accountants must exercise *professional judgment*, rather than merely relying on written rules.

Four accounting majors, Maria Acosta, Kenzo Nakao, Helen Martin, and Anthony Mandella, recently graduated from Central University and began professional accounting careers. Acosta entered public accounting, Nakao became a management accountant, Martin joined a governmental agency, and Mandella (who had completed a graduate program) became an accounting faculty member.

Assume that each of the four graduates was successful in his or her chosen career. Identify the types of accounting *activities* in which each of these graduates might find themselves specializing several years after graduation.

Locate the Home Depot, Inc., 2012 financial statements in Appendix A of this text. Briefly peruse the financial statements and answer the following questions:

- Name the titles of each of Home Depot's financial statements that provide specific information about economic resources, claims to resources, and changes in resources and claims.
- Name three other sections from Home Depot's 2012 financial statements that might be useful to a potential investor or creditor.

Due to the introductory nature of this chapter and the conceptual nature of its contents, no items labeled Problems are included. In all future chapters, you will find two problem sets, A and B, that generally include computations, are more complex, and generally require more time to complete than the Exercises.

Critical Thinking Cases

LOI-5 CASE 1.1 Reliability of Financial Statements



In the mid-2000s, Fannie Mae was in severe financial difficulty and desperately needed additional capital for the company to survive. What factors prevented Fannie Mae from simply providing potential lenders with misleading financial statements to make the company look like a risk-free investment?

Divide into groups as instructed by your professor and discuss the

- How does the description of accounting as the "language of business" relate to accounting as being useful for investors and creditors?
- Explain how the decisions you would make might differ if you were an external investor or a member of an enterprise's management team.

You are employed by a business consulting firm as an information systems specialist. You have just begun an assignment with a startup company and are discussing with the owner her need for an accounting system. How would you respond to the following questions from the owner?

- What is the meaning of the term *accounting system*?
- What is the purpose of an accounting system and what are its basic functions?
- Who is responsible for designing and implementing an accounting system?

Assume you have recently completed your college degree with a major in accounting and have accepted a position on the accounting staff of a large corporation. Your supervisor suggests that in preparing for your first day on the job, you become familiar with the basic principles included in the code of ethics of the Institute of Management Accountants. Briefly explain what you learn as you study the code and how it might affect your behavior on your new job. (Use the IMA's website to obtain access to the IMA's Code of Ethics.)

The Internet is a good place to get information that is useful to you in your study of accounting. For example, you can find information about accounting firms, standard setters, and regulators.

Instructions

- The largest U.S. accounting firms are referred to as the Big 4—Deloitte, Ernst & Young, KPMG, and PwC. Find the Internet sites of these four firms and learn what you can about the types of services provided by the firm.
- The Public Company Accounting Oversight Board (PCAOB) was created by the Sarbanes-Oxley Act to oversee auditors of public companies. Find the PCAOB's Internet site and learn what you can about the PCAOB's four major activities.
- The Financial Accounting Standards Board (FASB) is the designated accounting standard setter in the U.S. Find the FASB's Internet site and identify the FASB's board members including a brief description of their backgrounds.
- The International Accounting Standards Board (IASB) is the body that issues International Financial Reporting Standards. Find the IASB's Internet site and identify the IASB's board members including a brief description of the backgrounds of five board members.

Internet sites are time and date sensitive. It is the purpose of these exercises to have you explore the Internet. You may need to use the Yahoo! search engine www.yahoo.com (or another favorite search engine) to find a company's current web address.

Answers to Self-Test Questions

1. b 2. d 3. d 4. c 5. a 6. c 7. c 8. a
9. d 10. d